ARDEN ENVIRONMENTAL QUALITY BOARD — INTERNAL MEMORANDUM

To: Executive Director

From: Chief, Air and Climate Division

Date: 12 August 2025

Re: Assessment methodology — two bases

You asked how the Division proposes to compute the assessment. There is a difficulty in the text that the Division cannot resolve by regulation and that you may wish to raise.

Subsection (1)(a) provides that the assessment is based on the pro-rata sales of fossil fuel products in the State over the measuring period. Subsection (1)(b), added in the House, directs the Division to establish a methodology based on estimated carbon dioxide equivalent generated from those products.

These are not the same measure and they do not produce the same allocation. Carbon intensity per dollar of sales differs by product: for the products sold in Arden the factor for oil and refined products is materially higher than for natural gas. A seller whose in-state sales are wholly gas therefore bears a smaller share on the carbon basis than on the sales basis, and a seller whose sales are predominantly refined products bears a larger one. The magnitude of the difference depends on the mix of each seller and can be computed once the mix statements are in.

The Division can promulgate a methodology on either basis. It cannot promulgate one that satisfies both, and the statute gives no rule of priority. Whichever basis the Division adopts, a seller disadvantaged by the choice will be able to point to the other subsection.

The Division's provisional view is that subsection (1)(b) is the more specific direction and should govern the calculation, with subsection (1)(a) read as describing the class of sales to be taken into account rather than the allocation key. The Division is not confident of that reading and has not put it to the Board.

A second matter, which is not the Division's: subsection (k)(ii) sets an annual threshold without a measuring period. The Division has no authority over section 7-019 and mentions it only because the Division will be asked which sellers to bill.

Not circulated outside the Division.